MINISTRY OF FINANCE AND PUBLIC ENTERPRISES

NATIONAL ASSEMBLY RESPONSE TO SEVERAL QUESTIONS BY HON ELMA DIENDA (PDM), MEMBER OF PARLIAMENT

IPUMBU SHIIMI, MP

MINISTER OF FINANCE AND PUBLIC ENTERPRISES

12 September 2024

Honourable Speaker,

Honourable Members,

I rise to respond to questions, raised by Hon. Elma Dienda regarding the Bank of Namibia's announcement about the Electronic Fund Transfer (EFT) to Common Monetary Area countries (South Africa, Lesotho and Eswatini)

Thank you for raising these questions. Honourable Speaker, let me respond to the questions by Hon. Dienda in summary:

Honourable Members, this communication alluded to is from the Bank of Namibia which was also published in mainstream media. It serves to guide that by the end of this month, September 2024, the Determination on the Conduct of Electronic Fund Transfers within the National Payment System, also known as PSD-9, will become effective.

PSD-9 regulates how EFT payments must be processed within Namibia. It further regulates how cross-border transactions between Namibia and other SADC countries including the Common Monetary Area, should be processed. In summary, PSD-9 mandates that domestic EFT transactions should be processed by domestic banking institutions and on domestic payment systems, while regional transactions should be processed through regional payment systems such as the SADC RTGS, also known as the SADC payment system.

The current practice by the Banking Industry of treating cross-border CMA transactions as South African transactions, created significant regulatory challenges.

Some of the identified challenges include, but are not limited to:

1. insufficient balance of payments (BoP) reporting and
2. lack of transaction screening for potential illicit financial flows as well as
3. tax evasion.

Honourable members,

PSD-9 does not prohibit cross-border payments to and from Namibia with the rest of the CMA countries. It aims to correct unintended consequences from current practices by ensuring that all EFT transactions to and from Namibia are treated as cross-border transactions, thus enhancing the integrity and transparency of all financial transactions emanating from Namibia and incoming into Namibia.

In ensuring compliance with PSD-9, the commercial banks have resolved to use the SADC payment system to process all cross-border payments within the CMA. The practice being corrected by PSD-9 was particularly experienced for financial transactions below N$5 million also known as low-value cross-border payments. High-value cross-border transactions above N$5 million were always processed on the SADC payment system before the introduction of PSD-9.

Hon. Speaker,
Hon Members,

With regard to the questions raised by the Honourable Elma Jane Dienda, I wish to state the following:

1. The new method of making cross-border payments is not expected to adversely impact trade within the CMA, because payments among the 4 countries will still be possible. The only change introduced is how payments below N$5 million are processed, to ensure the integrity of these payments. The banking industry has been actively managing cross-border trading companies to ensure a seamless transition from the old payment system to the new one. As a nation, we will have better visibility of trade taking place between Namibia and the rest of the CMA because of the new payment system that requires better reporting of cross-border financial transactions.

2. As mentioned earlier, the banking sector has resolved to use, in the interim, the SADC payment system, which uses SWIFT messaging to process low-value cross-border transactions. This interim position will be transitioned into a permanent position, where a regional payment system that does not use SWIFT to process these types of payments, will be used. In addition, some commercial banks have also opted to use the cross-border instant payment system, also known as the SADC instant payment system (TCIB), for low-value payments below N$25 000, to the CMA. With these efforts, the CMA central banks together with the banking sector have taken the necessary measures to ensure that the public still has sufficient mechanisms to make and receive timely and cost-efficient payments within the CMA.

3. With regard to the speed of the transaction, the Bank of Namibia issued a regulation directing the banking sector to process low-value cross-border transactions in less than 2 business days. If a payment meets all the regulatory requirements and is processed timeously, such payment is expected to reach a customer within one business day. In addition to the speed of transaction processing, the Bank of Namibia also actively regulates fees and charges for CMA low-value transactions per the published PSDIR-9.

4. PSD-9 was initially published in 2018. The Bank of Namibia in lieu of changes to be brought about by the 2024 revisions to PSD-9, actively conducted numerous public awareness campaigns through the media. In this regard, the Bank of Namibia engaged and continuously engaged members of the public via mainstream media and social media, educating them on changes to be effected. Relevant sectors such as those in trading, the insurance sector, and the tourism sectors were also consulted in efforts to nudge them to seek alternative payment methods to make and receive cross-border payments. The Banking Industry also reached out to their respective customers in preparation for these changes and put measures in place to ensure the customer experience is not negatively impacted and that people can still seamlessly transact cross-border.

Honourable members, I wish to reiterate that the migration of low-value cross-border transactions to the SADC payment system, serves as a mere temporary measure whilst the CMA banking sector is working hard at repurposing the SADC TCIB for use in these transactions. This new payment system is envisaged to be cheaper and faster while adhering to all regulatory reporting requirements.

We expect the migration to the permanent payment system to happen during quarter 1 of 2027.

I thank you